Who bears the AI shock?
The distributional and fiscal incidence in the UK*

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November 2026

Abstract

How much of an AI labour-market shock does the UK tax-benefit system absorb, and who bears the rest? I link occupation-level AI exposure to workers in Microcosm, a calibrated microdataset built from the 2024–25 Family Resources Survey, and use PolicyEngine UK to run displacement, survivor-wage and capital-income shocks through the tax-benefit system at household level. Two comparisons hold the size of the shock fixed. First, reallocating the same expected number of displaced workers (7 per cent of employees) across four stylised incidence rules changes the annual Exchequer cost from £2.2 billion to £11.2 billion; a top-loaded stress test reaches £26.9 billion. Second, delivering the same gross earnings loss through wage cuts rather than job losses raises the cost from £7.4 billion to £18.6 billion and lowers the rise in absolute poverty from 1.95 to 0.19 percentage points on a paired draw: the Exchequer absorbs 42 pence per pound of earnings lost through job loss and 54 pence through wage cuts. Averaged over 50 draws, the exposure-proportional central case costs £7.4 billion a year, the net of a £40.7 billion displacement cost and receipts from assumed survivor-wage and capital-income gains; it turns into a net gain at a survivor-wage effect of 3.7 per cent or out-of-work spells of about 9.4 months. Its 2.34-point rise in absolute poverty is an upper bound (0.64 points on the relative line). Inequality rises under every incidence rule and shock size examined. I compare the results with the OBR's technological-displacement scenario.

Keywords: artificial intelligence, labour market, microsimulation, poverty, inequality, public finances

*Acknowledgements: I thank Max Ghenis and Seyed Mahdi Hosseini for valuable comments and helpful discussions.

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1 Introduction

If artificial intelligence displaces part of the UK workforce, how much of the loss does the tax-benefit system absorb, and who bears the rest? The answer turns on two things the size of the shock does not settle: which workers lose earnings, and whether they lose their jobs or part of their pay. The occupations that score highest on AI exposure indices—professional, associate professional, administrative and managerial work—pay well and carry much of the UK's income tax and NI base (Felten et al., 2021; Eloundou et al., 2024; Department for Education, 2023; Henseke et al., 2025), while UC and other means-tested benefits respond mainly to losses lower down the distribution. The same aggregate shock can therefore cost the Exchequer a little or a lot, and raise poverty a little or a lot, depending on where it lands.

The evidence on where it will land is unsettled. Exposure-based scenarios place the risk on highly paid cognitive work (Felten et al., 2021; Eloundou et al., 2024); an expertise-compression view expects AI to erode the premia of experienced workers (Autor, 2024; Hosseini Maasoum and Lichtinger, 2026b); and early empirical studies find larger employment effects for junior workers in exposed occupations and firms (Klein Teeselink, 2025; Hosseini Maasoum and Lichtinger, 2026a; Brynjolfsson et al., 2026). The adjustment margin is equally open: in task-based models displacement can show up as relative wage declines rather than job loss (Acemoglu and Restrepo, 2022).

I run an AI labour-market shock through the UK tax-benefit system at household level and vary both dimensions while holding the shock's size fixed. Using PolicyEngine UK on Microcosm, a calibrated microdataset built from the Family Resources Survey 2024–25, I attach occupation-level exposure to workers and adopt the central conventions of an Irish study (Doorley et al., 2026): 7 per cent of employees displaced, a 2.6 per cent wage uplift for survivors and a higher return to capital. Two comparisons organise the results.

Who loses the job. Reallocating the same expected number of displaced workers across four stylised rules changes the annual Exchequer cost from £2.2 billion under uniform incidence to £11.2 billion when displacement tilts towards high earners in exposed occupations (50-draw means); a top-loaded stress test reaches £26.9 billion. Poverty does not follow cost: uniform incidence costs least but raises absolute poverty and the Gini by more than exposure-proportional incidence.

How the loss happens. Delivering the same gross earnings loss as occupation-level wage cuts rather than job losses raises the cost from £7.4 billion to £18.6 billion and lowers the rise in absolute poverty from 1.95 to 0.19 points (paired draw). The Exchequer absorbs 42 pence of each pound of earnings lost through job loss and about 54 pence of each pound lost through wage cuts.

The exposure-proportional central case is one cell of this design. It costs £7.4 billion a year as the net of a £40.7 billion displacement cost and extra receipts from the survivor-wage and capital channels, so its sign reverses with a survivor-wage effect of 3.7 per cent, a capital-income uplift of 57 per cent or out-of-work spells of about 9.4 months. An explicit account of where the displaced wage bill goes, with corporation tax and an assumption about the UK-household ownership of profits, gives results from a net gain of £1.1 billion to a cost of £13.8 billion. The OBR's own technological-displacement scenario, in which equilibrium unemployment rises from 4.1 to 5.5 per cent, adds about £9 billion a year to borrowing (OBR, 2026a); at the central cost per displaced worker that sum corresponds to about 0.45 million displaced employees.

The paper contributes to three literatures. For the AI exposure literature it supplies the household tax-benefit layer that exposure indices and macroeconomic scenarios lack; I am not aware of a published study that runs an AI shock through the UK tax-benefit system at household level. For the literature on automatic stabilisers (Dolls et al., 2012) it compares the absorption of an extensive-margin and an intensive-margin shock of equal size. For the public finance of AI (Korinek and Lockwood, 2026; OBR, 2026b) it shows, household by household, how a shift from labour income to profits plays out under current UK rules. The code and aggregate results are public; exact regeneration requires access to Microcosm.

Section 2 positions the paper, Section 3 sets out the data and methods, Section 4 reports the results, Section 5 prices three policy responses and Section 6 concludes.

2 Related literature

Exposure and incidence. Occupation-level exposure measures link AI capabilities to the abilities or tasks of each occupation (Webb, 2019; Felten et al., 2021; Tolan et al., 2021; Eloundou et al., 2024; Gmyrek et al., 2023; ILO, 2025); UK applications include Department for Education (2023) and the task-based index of Henseke et al. (2025). The government's January 2026 assessment reports, from IMF estimates, that around 70 per cent of UK workers are in exposed jobs and about half of those in high-complementarity roles, and it gives no displacement estimate (DSIT and AISI, 2026). Exposure does not settle incidence. The complementarity adjustment of Pizzinelli et al. (2023) and Cazzaniga et al. (2024) separates exposure that substitutes for workers from exposure that augments them, and in a calibrated task model Rockall et al. (2025) find that AI can reduce wage inequality by displacing high-income workers while raising wealth inequality through higher capital returns. The expertise-compression view holds that AI lowers the premia of experienced workers by letting less experienced ones perform their tasks (Autor, 2024; Hosseini Maasoum and Lichtinger, 2026b), consistent with experimental gains concentrated among less experienced workers (Noy and Zhang, 2023; Brynjolfsson et al., 2025). Early UK and US evidence points instead to junior workers: Klein Teeselink (2025) reports larger employment falls for junior positions at more exposed UK firms, Hosseini Maasoum and Lichtinger (2026a) find junior employment falling after firm adoption in US résumé data, and in their latest version Brynjolfsson et al. (2026) report that employment of 22–25-year-olds in the most exposed US jobs stands 19 per cent below the path of less exposed peers, a pattern they describe as descriptive rather than causal. Danish administrative data rule out effects on earnings or recorded hours larger than 2 per cent two years after ChatGPT's launch (Humlum and Vestergaard, 2025), US vacancy data show exposed establishments changing their hiring without detectable aggregate employment effects (Acemoglu et al., 2022), and task-based estimates imply modest macroeconomic gains over a decade (Acemoglu, 2025). Because these views imply different incidence, I vary incidence rather than assume it.

Labour-market shocks in tax-benefit models. Dolls et al. (2012) define the income stabilisation coefficient, the share of a market-income shock absorbed by taxes and transfers, and find that automatic stabilisers absorb 38 per cent of a proportional income shock in the EU and 32 per cent in the US, against 47 and 34 per cent of an unemployment shock. Brewer and Tasseva (2021) run the Covid-19 employment shock and policy response through UKMOD. Doorley et al. (2023) find that European tax-benefit systems muted the pass-through of routine-biased automation to household inequality, and Doorley et al. (2026) run the 7 per cent displacement

convention through the Irish SWITCH model, comparing exposure-proportional and uniform allocation. Evidence on the persistence of UK earnings losses after job loss (Upward and Wright, 2019) bears on the duration assumption. I add the UK, a fixed-quota comparison of five allocation rules with paired draws, and a comparison of job loss with wage cuts at the same gross earnings loss, which is the extensive-versus-intensive contrast of Dolls et al. (2012) applied to an AI shock.

The public finance of AI. Task-based models imply that automation lowers the labour share (Acemoglu and Restrepo, 2018) and raises returns to wealth (Moll et al., 2022); if AI shifts income from labour to capital, labour-tax bases erode (Korinek and Lockwood, 2026). The OBR models this in a technological-displacement scenario in its March 2026 outlook (OBR, 2026a) and in a long-term scenario in which the wage share halves (OBR, 2026b); one US exercise runs alternative AI futures through the federal tax system without benefits (Iselin and Nunn, 2026). Brollo et al. (2024) discuss unemployment insurance and capital taxation as fiscal responses to generative AI. A normative literature asks whether automation should be taxed (Guerreiro et al., 2022; Costinot and Werning, 2023; Thuemmel, 2023), documents that the US tax code taxes labour more heavily than equipment (Acemoglu et al., 2020), and shows that slow reallocation and borrowing constraints can make automation inefficient (Beraja and Zorzi, 2025); Bastani and Waldenström (2024) review capital taxation in this setting. This paper is positive rather than normative. It supplies the household tax-benefit layer under the OBR's aggregate scenarios: who loses what, how much the Exchequer absorbs, and how that depends on incidence and margin.

3 Data and methods

The analysis has three stages. I attach an occupation-level measure of AI exposure to workers in a calibrated UK household microdataset, translate an assumed economy-wide shock into person-level changes to employment, wages and capital income, and pass baseline and shocked data through a tax-benefit microsimulation model.

3.1 Measuring AI exposure

I start from the AI Occupational Exposure (AIOE) index of Felten et al. (2021), which links progress in ten AI application areas to the ability requirements of each occupation in O*NET. The AIOE is standardised across occupations (mean zero, unit standard deviation), so it takes negative values for occupations with below-average exposure. I combine it with the complementarity index $\theta_l \in [0, 1]$ of Pizzinelli et al. (2023), built from O*NET work-context descriptors and job-zone requirements; high-θ occupations are those in which AI is more likely to complement than replace human judgement. The complementarity-adjusted exposure of occupation group l is

$$\text{C-AIOE}_l = \text{AIOE}_l \times \big(1 - (\theta_l - \theta_{\min})\big), \tag{1}$$

where $\theta_{\min}$ is the lowest complementarity among the groups. Because the standardised AIOE can be negative, so can the C-AIOE (Table 9). Before allocating job losses I therefore shift the scores so that the least-exposed group scores zero, $\widetilde{\text{C}}_l = \text{C-AIOE}_l - \min_k \text{C-AIOE}_k \geq 0$, and the allocation rule uses $\widetilde{\text{C}}_l$.

No published UK C-AIOE series exists at the level I need, so I build one. AIOE scores come from the UK SOC2020 mapping published with Department for Education (2023), which chains the Felten et al. (2021) scores through US SOC2018, US SOC2010 and ISCO-08 to UK SOC2020. I reconstruct θ from the public O*NET 27.3 release following Pizzinelli et al. (2023); the reconstruction reproduces the published ordering up to a level offset, which does not matter because equations (1) and (3) use θ only relative to its minimum and its mean. Both series are aggregated to the nine SOC2020 major groups with ASHE 2025 Table 14 employment weights, which cover 340 of the 412 unit groups. Exposure therefore varies across nine groups only, and all within-group variation is lost; the dataset's sub-major group is imputed, and I do not use it.

3.2 Shock scenarios

The size of an AI shock cannot be estimated from historical data, so I treat it as a scenario input. The central calibration follows the Irish design of Doorley et al. (2026): 7 per cent of employees lose their jobs and surviving employees receive an average wage uplift of 2.6 per cent. Doorley et al. derive these inputs from one investment-bank scenario exercise (Briggs and Kodnani, 2023), which describes displacement over a roughly decade-long adoption period with reallocation. Applying the whole 7 per cent within one simulated year turns that flow into a stock, so the central case is an impact-year stress test, not an annual forecast. I also follow Doorley et al. (2026) in raising the return to capital by 0.4 percentage points, from 1.005 to 1.405 per cent, which they motivate with Cazzaniga et al. (2024). Around the central case, a grid crosses displacement rates of 0–10 per cent with wage uplifts of 0–5 per cent (66 cells, capital shock on throughout; Online Appendix B.7), and two presets add a 1 per cent sensitivity case with no wage gain and a 13 per cent stress case.

3.3 Implementing the shock at the micro level

Employment. The number displaced is the displacement rate times weighted employees. It is allocated across groups in proportion to employment times shifted exposure:

$$\text{JobLoss}_l = \text{TotalJobLoss} \times \frac{\text{EMP}_l \, \widetilde{\text{C}}_l}{\sum_k \text{EMP}_k \, \widetilde{\text{C}}_k}. \tag{2}$$

Employees without a recorded group form a pseudo-group with the employment-weighted mean exposure. Within each group, systematic sampling on a random permutation selects the displaced: every record in a group has the same inclusion probability (up to prescribed tilts such as the youth multiplier), the quota holds in expectation, and a record's calibrated weight enters only through the quota accounting. A displaced worker's employment income, hours, pension contributions (including salary sacrifice) and statutory pay are set to zero and their status to unemployed; dual jobholders keep self-employment income. PolicyEngine UK takes no spell-duration input, so displaced workers are assessed as unemployed for the whole year. The self-employed are outside both labour-market shocks, following Doorley et al. (2026).

Wages. Each surviving employee receives an uplift proportional to complementarity:

$$\text{WageChange}_l = \text{WageGrowth} \times \frac{\theta_l}{\bar{\theta}} \times \text{Wage}_l, \qquad \bar{\theta} = \frac{\sum_l \text{EMP}_l \, \theta_l}{\sum_l \text{EMP}_l}, \tag{3}$$

with EMP_l baseline employment. The employment-weighted mean uplift equals the assumed growth rate. Two features follow from the rule. Higher-θ occupations earn more, so the wage bill grows slightly faster than the headline rate, and survivors have above-average θ, so displacement raises the realised mean uplift a little. Non-displaced workers can only gain; Online Appendix B.8 prices displaced workers bidding down others' wages in reduced form.

Capital. Savings interest and dividend income are scaled by 1.405/1.005, a 39.8 per cent increase; rental income and returns inside pensions are unchanged. The baseline return of 1.005 per cent comes from the Irish calibration. The same 0.4-point shock on a 4 per cent base would raise capital incomes by 10 per cent, so the channel is best read directly as a 39.8 per cent proportional increase. Section 4.5 replaces it with an explicit account of where the displaced wage bill goes.

3.4 Incidence and adjustment-margin scenarios

Holding the central aggregate shock fixed, I reallocate the same expected number of displaced workers under five displacement rules. Survivor wages and capital income are held fixed at the person level, so the comparisons isolate who loses the job.

Exposure-proportional. Equation (2); the central case and the rule behind the grid.

Junior-concentrated. Draws tilted towards workers aged 16–24 by a multiplier of 1.29, the ratio of junior to overall employment falls in press-release figures for maximally exposed UK firms from Klein Teeselink (2025) (5.8/4.5), within unchanged group quotas.

Expertise-compression. Displacement probabilities doubled (an author choice) for the top weighted-earnings tertile of workers in above-median-exposure occupations: a high-earner displacement tilt named after the hypothesis that motivates it (Autor, 2024; Hosseini Maasoum and Lichtinger, 2026b), whose formal mechanisms work through wages rather than job loss.

Uniform. Every employee has the same displacement probability.

Top-loaded stress test. Probability proportional to shifted exposure times a junior factor of 1.29 and wage-tier factors of 9.6 above and 0.6 below weighted-median person earnings. The tier factors carry press-release figures for maximally exposed UK firms (employment falls of 9.6 per cent in high-paying firms and almost none in low-paying ones) over to persons, using person earnings as a proxy for firm pay (Klein Teeselink, 2025). I treat this family as an upper stress case, not an estimated schedule.

Wage margin. A separate family moves the same earnings loss to wage cuts (Acemoglu and Restrepo, 2022). No one loses a job; every employee's earnings fall by an occupation-level percentage proportional to $\widetilde{\text{C}}_l$, scaled so that the aggregate gross loss equals the realised loss of the paired central displacement draw (7.71 per cent of the baseline employee wage bill at seed 0, above 7 per cent because group job-loss rates rise with group pay). The 2.6 per cent uplift and the capital shock apply on top. A second gradient uses the potential-supply-shift measure of Hosseini Maasoum and Lichtinger (2026b) to rank the cuts. A mixed family thins the central displacement draw to a share $\lambda \in \{0, 0.25, 0.5, 0.75, 1\}$ and fills the gap to the same gross loss

with C-AIOE-graded cuts, and a survivor-wage panel holds the central draw fixed while the survivor-wage effect runs from −5 to +5 per cent.

3.5 Microsimulation with PolicyEngine UK

I use PolicyEngine UK 2.174.1 (policyengine.py 6.16.1 release bundle) on Microcosm UK 2024–25 (build `microcosm-uk-2024-25-national-20261107T020434Z-eeb6093e`). Microcosm starts from the Family Resources Survey 2024–25 (UK Data Service SN 9563), adds records drawn from the HMRC Survey of Personal Incomes (SPI) for top incomes, imputes variables the survey does not collect, and calibrates household weights to 1,514 administrative and survey targets, including SPI income by band up to £1 million, ONS occupational employment, DWP caseloads and OBR receipts; 98.7 per cent of targets fall within 10 per cent.[1] The file holds 78,181 households and 182,418 persons, grossing to 69.3 million people and 29.0 million employees in 2026; 99.7 per cent of weighted employees have a recorded SOC2020 major group, carried from the FRS and imputed from income for SPI-drawn records. The simulation year is 2026.

Each scenario runs a baseline and a shocked simulation on identical records, so reported effects contain no resampling noise, but they inherit the survey's sampling error. Income results use HBAI cash disposable income. Absolute poverty lines are fixed at baseline values; relative lines are 60 per cent of the shocked median. The Gini is computed on equivalised household income with negative incomes set to zero. The Exchequer cost is the fall in PolicyEngine's government balance, which includes income tax, employee and employer National Insurance (NI) and benefit spending; a negative cost is a net gain. Household consumption is held at baseline, so the balance carries no VAT or other indirect-tax response, and the pay bill saved when a public-sector employee is displaced is outside the balance.

Draws and uncertainty. The identity of the displaced is random. Calibration makes Microcosm's weights uneven: the 72,504 employee records have a Kish effective sample size of about 5,810, so the realised number displaced varies around the quota (1.85–2.24 million over 50 central draws). I report 50-draw means for the central case, the incidence families and the policy reforms; 20-draw means for the channel split, the capital-income coverage runs and the duration and take-up sensitivities; and single draws at seed 0 where only one draw exists (the grid, the presets other than the central case, the wage-margin and mixed tables, and the index and ripple sensitivities), labelled as such. A value written "$a \pm b$" is a mean and the standard deviation across assignment draws, which describes how much a single draw can vary; it is not a confidence interval. The Monte Carlo standard error of a 50-draw mean is that standard deviation divided by $\sqrt{50}$: £0.26 billion for the central cost. Neither number reflects survey sampling or parameter uncertainty. Appendix A.1 lists the basis of every result.

4 Results

I first report the central scenario and how the tax-benefit system absorbs it, then the two comparisons that organise the paper: who loses the job, and how the earnings loss arrives. The

[1] Target counts and fit are from the build's calibration diagnostics in the Microcosm repository. An earlier version of this paper used an uncalibrated processed FRS file with two build defects (household variables attached in file order, and dividends joined on the wrong key, leaving £0.04 billion of dividends). Online Appendix B.12 compares the two sets of results.

section closes with the assumptions that move the central cost, an account of where the displaced wage bill goes, and a benchmark against the OBR.

4.1 The central scenario and its three channels

Table 1 summarises the central scenario and the two presets. Over 50 assignment draws, the central shock displaces 2.04 million employees, costs the Exchequer £7.4 billion a year (draw standard deviation £1.8 billion; standard error of the mean £0.26 billion), and raises the Gini coefficient by 1.76 points from a baseline of 0.302. The exposure-proportional rule concentrates job loss in higher-income households: 0.80 per cent of people in the bottom decile live through a transition to unemployment, against 5.55 per cent in the top (Figure 1). That gradient restates the allocation assumption; it is not evidence about who AI will displace.

Table 1: Preset scenarios

Scenario	Displaced (million)	Exchequer cost (£bn/yr)	Δ Poverty (pp) Abs. BHC	Abs. AHC	Rel. BHC	Δ Gini (pp)
Low (seed 0)	0.29	−10.4	−0.01	+0.11	–	+0.73
Central (50-draw mean)	2.04	7.4	+2.34	+2.58	+0.64	+1.76
High (seed 0)	3.85	43.4	+5.29	+5.64	–	+2.81

Note: Exchequer cost is the fall in the government balance; a negative cost is a net gain. Low: 1 per cent displacement, no wage gain. Central: 7 per cent displacement, 2.6 per cent wage gain. High: 13 per cent displacement, 2.6 per cent wage gain. The capital shock applies in every row. Abs.: absolute line fixed at baseline; Rel.: 60 per cent of the shocked median. The relative line is reported for the central case only.

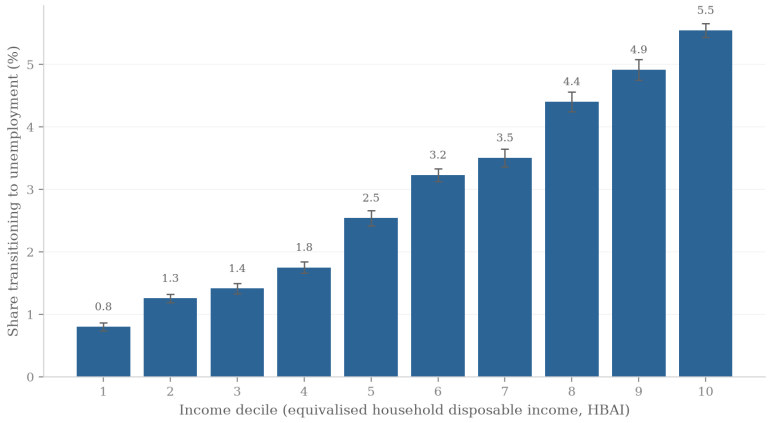


Figure 1: Share of each equivalised disposable income decile that moves from employment to unemployment, central scenario. Means over 50 draws with 95 per cent intervals for the mean.

The central cost nets three large flows. Running each channel alone on 20 paired draws, displacement costs £40.7 billion, while the survivor-wage and capital channels each raise net receipts by £16.8 billion; the channels sum to within £0.15 billion of the full shock. Per displaced worker, the displacement channel costs £20,200 (mean of the per-draw ratio over 20 draws, standard deviation £1,000). By tax and benefit, the 50-draw cost combines lost income tax on earnings (£10.5 billion), employer NI (£8.6 billion), employee NI (£2.7 billion) and higher

Universal Credit (UC) spending (£2.3 billion), against higher dividend tax (£12.7 billion), higher savings tax (£3.0 billion) and lower childcare support (£1.0 billion). The Exchequer loses the employer contributions on displaced workers' earnings whatever their incidence; whether the saved labour cost returns as taxable profit is the closure question of Section 4.5.

The Gini rises because displaced workers lose all earnings, survivors gain, and the capital uplift accrues mainly in the top decile, which holds 61.2 per cent of baseline capital income. The rise does not depend on the capital channel: on its own the displacement channel raises the Gini by 0.86 points (20 draws), and with the capital shock switched off the Gini rises in all 65 shocked cells of the grid (Online Appendix B.7).

Poverty. Absolute BHC poverty rises by 2.34 points (standard error 0.03). I read this as an upper bound. Every displaced worker loses a full year of earnings against a poverty line frozen at its baseline value, and the framework over-predicts the poverty response to a past downturn: a uniform 2.6 per cent displacement sized to the 2008–09 rise in unemployment raises simulated absolute BHC poverty by 0.97 points (five draws), while recorded HBAI absolute poverty was roughly flat over 2007/08–2010/11, when benefits were uprated with high inflation and spells were of mixed length (Appendix A.3). On the relative line, which moves with the shocked median, the central rise is 0.64 points. At seed 0, 100 per cent of people entering absolute poverty live with a displaced worker, and 46 per cent of those households had no other earner.

4.2 Who loses the job

Table 2 reallocates the same expected number of displaced workers across the five rules of Section 3.4; survivor wages and capital income are identical at the person level. Across the four stylised rules the Exchequer cost runs from £2.2 billion (uniform) to £11.2 billion (expertise compression); the top-loaded stress test costs £26.9 billion. The cost tracks the earnings of those displaced. Adding the survivor-wage and capital channels back, the displacement channel costs about £17,600 per displaced worker under uniform incidence, £20,200 under exposure-proportional, £22,000 under expertise compression and £29,800 under the stress test (50-draw means, assuming the channels add up, as they do to within £0.15 billion in the central case).

Table 2: The central shock under five displacement rules (50 paired draws)

Displacement rule	Displaced (million)	Exchequer cost (£bn/yr)	Δ Poverty (pp) BHC	AHC	Δ Gini (pp)
Exposure-proportional	2.04	7.4 ± 1.8	+2.34 ± 0.21	+2.58 ± 0.21	+1.76 ± 0.12
Junior-concentrated	2.03	7.1 ± 1.6	+2.37 ± 0.23	+2.61 ± 0.25	+1.77 ± 0.11
Expertise-compression	2.04	11.2 ± 2.5	+2.60 ± 0.20	+2.81 ± 0.23	+1.78 ± 0.11
Uniform	2.04	2.2 ± 1.9	+2.45 ± 0.22	+2.60 ± 0.22	+1.88 ± 0.12
Top-loaded stress test	2.03	26.9 ± 2.6	+2.93 ± 0.26	+3.39 ± 0.29	+1.77 ± 0.14

Note: Means ± standard deviations across 50 shared assignment draws; divide a standard deviation by $\sqrt{50}$ for the standard error of the mean. Every rule has the same expected displaced count. The top-loaded stress test multiplies exposure-proportional probabilities by a junior factor (1.29) and wage-tier factors (9.6 above and 0.6 below median person earnings).

Because the rules share assignment seeds, I compare them draw by draw. Uniform incidence costs £5.17 billion less than exposure-proportional incidence (paired 95 per cent interval $[-5.93, -4.41]$) and expertise compression £3.80 billion more ($[+2.92, +4.67]$); the junior tilt

changes the cost by −0.29 billion ([−0.97, +0.40]), because the tilt operates within fixed occupation quotas and young workers sit mostly in low-exposure groups. These intervals describe assignment noise across 50 draws and narrow as draws are added; they carry no information about survey sampling or about which rule is right.

Poverty does not follow cost. Relative to exposure-proportional incidence, uniform incidence raises BHC poverty by a further +0.11 points ([+0.04, +0.19]) and the Gini by +0.12 points while costing less, and expertise compression raises poverty by +0.26 points more ([+0.19, +0.33]) while costing more. Two routes could produce this ordering. Uniform incidence displaces more workers in lower-income households, which start closer to the line; the high-earner tilts displace more sole earners, whose households fall the full distance. The saved draws do not separate the two routes.

4.3 How the earnings loss arrives

Table 3 moves the same gross earnings loss from job loss to wage cuts. The comparison is paired at seed 0, where the displacement draw removes 7.71 per cent of the baseline wage bill and costs £7.4 billion (close to the 50-draw mean). Delivered as occupation-level wage cuts, the same loss costs £18.6 billion and raises BHC poverty by only +0.19 points, against +1.95 under job loss.

Table 3: The same gross earnings loss on two margins (paired at seed 0)

Scenario	Exchequer cost (£bn/yr)	Δ Poverty (pp) BHC	AHC	Δ Gini (pp)
Central displacement	7.4	+1.95	+2.15	+1.50
Wage margin (C-AIOE gradient)	18.6	+0.19	+0.34	+0.29
Wage margin (PSS gradient)	18.2	+0.18	+0.53	+0.34

Note: Every row removes 7.71 per cent of the baseline employee wage bill before the 2.6 per cent uplift and the capital shock, which apply in all rows. The wage-margin rows displace no one; cuts are proportional to the stated occupation gradient.

The margin changes how much of each lost pound the Exchequer absorbs. Displacement alone (seed 0, no wage or capital channel) removes £97.1 billion of earnings and costs the government balance 42 pence per pound; on the household basis that excludes employer NI (income tax, employee NI and benefits, the stabilisation coefficient of Dolls et al. (2012)) it costs 29 pence. Cutting survivors' wages from the survivor-wage grid's 0 to −2.6 per cent row costs 54 pence per pound on the government balance; the saved draws do not split this figure into household and employer components. The ordering is the reverse of Dolls et al. (2012), where unemployment insurance makes an unemployment shock the better absorbed of the two. A wage cut removes pounds taxed at the worker's marginal rates of income tax and NI, and withdraws UC at the taper; job loss removes whole earnings, including the slice covered by the personal allowance and NI thresholds, and the UC it adds is small relative to the tax it forgoes. Poverty moves the other way: concentrated losses push displaced households across the line, while the same loss spread across 29.0 million employees moves few households below it.

Table 4 holds the gross loss fixed and moves it between margins. As the displaced share λ rises from 0 to 1, the cost falls from £18.6 billion to £7.4 billion and BHC poverty rises from +0.19 to +1.95 points. The second panel shows the survivor-wage assumption: with no pass-through to survivors the central cost is £24.2 billion, and a 2.6 per cent survivor-wage decline gives £41.0 billion.

Table 4: Adjustment-margin and survivor-wage sensitivities (seed 0)

Scenario	Displaced (million)	Exchequer cost (£bn/yr)	Δ Poverty BHC (pp)	Δ Gini (pp)
Fixed gross earnings loss (7.71 per cent); λ is the displaced share				
$\lambda = 0$	0.00	18.6	+0.19	+0.29
$\lambda = .25$	0.52	15.4	+0.60	+0.60
$\lambda = .50$	0.93	13.3	+0.99	+0.82
$\lambda = .75$	1.42	10.5	+1.38	+1.10
$\lambda = 1$	1.96	7.4	+1.95	+1.50
Central displacement draw with alternative survivor-wage effects				
−5.0%	1.96	56.5	+2.75	+1.12
−2.6%	1.96	41.0	+2.48	+1.23
0.0%	1.96	24.2	+2.14	+1.36
+2.6%	1.96	7.4	+1.95	+1.50
+5.0%	1.96	−8.3	+1.64	+1.63

Note: In the first panel C-AIOE-graded survivor cuts fill the gap between the thinned displacement draw and the fixed gross loss; $\lambda = 1$ is the central draw. The second panel holds the displaced and the capital shock fixed and changes the mean survivor-wage effect, keeping the complementarity gradient.

4.4 What moves the central cost

The central cost is small relative to its components, so modest changes in three assumptions remove it. Table 5 reports the value of each at which the central cost is zero, holding the other two at their central values.

Table 5: Break-even values of the central net cost

Assumption	Central	Break-even	Basis and method
Mean survivor-wage effect	+2.6%	+3.7%	Seed 0; linear interpolation between the +2.6 and +5 per cent rows of Table 4
Capital-income uplift	+39.8% (+0.40pp)	+57% (+0.57pp)	20 paired draws; the capital channel's receipts scaled linearly beyond the one simulated uplift
Months out of work	12	9.4	20 draws; linear between full-year loss and the 50 per cent earnings-retention run, read as six months

Note: The capital figure extrapolates from a single simulated uplift, and the duration figure rests on a run that halves annual earnings while keeping full-year unemployed status, so annual earnings withdraw UC that a real six-month spell would pay in its out-of-work months; both are approximate. Sources: results/robustness/survivor_wage_grid.csv, dividend_coverage.json, duration_takeup_sensitivity.json.

Other assumptions move the cost less or in one direction. A flat 70 per cent UC take-up probability, against Microcosm's person-weighted baseline claim propensity of 46 per cent, raises the cost from £7.2 billion to £8.3 billion (20 draws); scaling dividends to the HMRC SPI projection, which Microcosm exceeds by 16 per cent, raises it to £9.3 billion (20 draws; Online Appendix B.12); and a reduced-form ripple effect in which displaced workers lower other workers' wages with an assumed slope of 0.3 raises it to £19.5 billion (seed 0; Online Appendix B.8). The low and high presets of Table 1 keep the full capital uplift while scaling displacement, which is

why the low preset shows a net gain.

4.5 Where the displaced wage bill goes

The central scenario imposes the capital uplift independently of the labour shock, and its government balance counts no corporation tax. Table 6 replaces the uplift with an explicit account of where the displaced wage bill goes, on the seed-0 draw where every flow is available. Displaced workers lose £97.1 billion of earnings and survivors gain £30.9 billion, so labour income falls by £66.2 billion. The central scenario instead adds £48.0 billion of household capital income (£37.0 billion of dividends and £11.1 billion of interest).

In the closed account a share ϕ of the net labour-income fall reappears as company profit, which pays corporation tax at 25 per cent; companies pay out 50 per cent of post-tax profit, and a share s of that reaches UK households, the remainder going to overseas owners and pension funds, whose returns the household simulation does not tax. Household dividends pay tax at the 35 per cent average rate the simulated capital channel implies. The interest uplift has no counterpart in this account. The closed balance keeps the displacement and survivor-wage channels and their interaction and replaces the capital channel with corporation tax and dividend tax on the implied payout.

Table 6: A closed account of the displaced wage bill (seed 0, £bn a year)

ϕ	UK share s	Profits	Corporation tax	Household dividends	Dividend tax	Exchequer cost
0.5	0.5	33.1	8.3	6.2	2.2	13.8
0.5	1.0	33.1	8.3	12.4	4.4	11.6
1.0	0.5	66.2	16.6	12.4	4.4	3.3
1.0	1.0	66.2	16.6	24.8	8.8	−1.1

Note: Profits are ϕ times the net labour-income fall (£66.2 billion). Payout ratio 50 per cent. The seed-0 central cost with the exogenous capital uplift is £7.4 billion. Static accounting: no corporation-tax incidence, allowances or profit shifting, and dividend tax at the capital channel's average rate. Adding the £8.5 billion of net employer NI saved to profits would raise each profit figure by ϕ times that amount.

The closed account returns less than the central cost only when nearly all of the net labour-income fall becomes profit ($\phi = 1$); at $\phi = 0.5$ the cost is higher than the central cost whatever the UK share. The central capital uplift adds more dividend income (£37.0 billion) than the closed account delivers to households even at $\phi = 1$ and $s = 1$ (£24.8 billion), so the central scenario's sign rests on a capital uplift that the labour shock alone does not finance.

4.6 A benchmark against the OBR

The OBR's March 2026 outlook includes a technological-displacement scenario in which equilibrium unemployment rises to 5.5 per cent against 4.1 per cent in the central forecast for 2030, higher productivity leaves GDP unchanged, and real earnings do not rise, so the labour share falls and the profit share rises (OBR, 2026a, Box 2.2). Borrowing is higher by an average of £9 billion a year: receipts are £6 billion lower, net of higher corporation tax, and welfare spending is £3 billion higher (OBR, 2026a, para. 6.18). The OBR scenario is closest to the closed account of Table 6 with ϕ near one and no survivor-wage gain, on a much smaller head count. At the displacement channel's cost of £20,200 per displaced worker, £9 billion corresponds to

about 0.45 million displaced employees, against 2.04 million in the central case. The comparison is indicative: the OBR counts VAT and corporation tax, which this simulation holds fixed or omits, its welfare figure covers all benefits rather than the household-level entitlements simulated here, and its scenario does not allocate unemployment across occupations. Its long-term counterpart, in which the wage share of GDP halves by 2075–76, lowers tax receipts by nearly 4 percentage points of GDP because wages and salaries carry an average effective tax rate of 46 per cent against 27 per cent on profits (OBR, 2026b, Box 4.1). Section 6.1 describes a simulation of the OBR scenario itself.

5 Policy responses

The existing system already absorbs part of the shock (Section 4.3). This section prices three stylised additions inside the shocked world. Each is simulated on top of the central scenario for 2026 only, and the estimand is the shocked-plus-reform world minus the shocked world, with poverty lines held at their shocked values.

R1 is a wage-insurance scheme in the spirit of trade-adjustment proposals: displaced workers receive 50 per cent of lost earnings, capped at £15,000 a year. I implement it as a post-simulation transfer that is untaxed and disregarded by means tests, so its gross cost equals its net cost and sits at the top of the range of possible designs. R2 raises the UC standard allowance by 20 per cent, and R3 suspends the benefit cap and cuts the UC taper from 55 to 45 per cent; both are PolicyEngine parameter reforms, so their costs are net of withdrawal elsewhere in the system. The fiscal and distributional aims of these designs differ, as do their administrative requirements; Table 7 compares them on cost and on poverty only.

Table 7: Policy reforms on top of the central shock, 2026 (50 draws)

Reform	Annual cost (£bn)	Δ Poverty BHC (pp)	Δ Gini (pp)	Cost per BHC point (£bn)
R1 Wage insurance	26.7 ± 1.1	−1.89 ± 0.17	−0.98	14.1
R2 UC allowance +20%	6.9 ± 0.1	−0.64 ± 0.04	−0.32	10.8
R3 Cap suspension + taper cut	4.9 ± 0.1	−0.62 ± 0.04	−0.25	7.8

Note: Shocked-plus-reform minus shocked, exposure-proportional incidence, means ± standard deviations across 50 draws. Cost per point is the mean cost divided by the mean poverty reduction. R1 is untaxed and means-test-disregarded.

Wage insurance reduces BHC poverty by 2.9 times as much as the UC allowance increase at 3.9 times the cost, so it costs £14.1 billion per point of poverty reduced, against £10.8 billion for R2 and £7.8 billion for R3. Wage insurance pays in proportion to lost earnings, and the exposure-proportional shock displaces workers mostly in the upper half of the distribution: at seed 0, 63 per cent of R1 spending reaches baseline deciles 8–10, while R2 and R3 place 77 and 72 per cent of their spending in deciles 1–5. Under junior-concentrated and uniform incidence R1 costs £26.6 billion and £26.0 billion (50 draws). In the 50 per cent earnings-retention run a duration-consistent R1 costs £31 billion per poverty point against £11.5 billion for R2 (5 draws). Online Appendix B.11 plots the decile distribution of each reform's spending.

6 Conclusions

The results are scenario analysis. I do not forecast the pace or extent of AI adoption; I trace what the UK tax-benefit system would do if labour-market shocks of a given size, incidence and margin occurred under current rules. The observational record does not yet discriminate between the incidence views: the earliest evidence ranges from minimal effects on earnings and hours (Humlum and Vestergaard, 2025) to relative employment declines for young workers in exposed occupations (Brynjolfsson et al., 2026), none at the scale of the central shock.

Three findings do not depend on the central parameters. First, who loses the job moves the cost of a fixed head-count shock by £9.0 billion across the stylised rules, a difference that does not depend on the survivor-wage and capital receipts the rules share, because the Exchequer loses each displaced worker's income tax and NI and the UK tax base leans on the earnings of the occupations most exposed. Second, the margin changes how the shock is shared: the Exchequer absorbs more of each pound lost through wage cuts than through job loss, while job loss concentrates the household loss and raises absolute poverty by 1.95 points against 0.19 under wage cuts. Third, measured inequality rises under every displacement rule and grid cell examined, with or without the capital channel. The level and sign of the central cost, by contrast, turn on three assumptions with break-even values close to their central settings (Table 5) and on how much of the displaced wage bill returns to UK households as taxable profit (Table 6).

The comparison with the Irish simulation of Doorley et al. (2026), which uses the same central conventions on SILC data and the SWITCH model, shows the same qualitative pattern (Table 8). The fiscal magnitudes are not comparable, because Doorley et al. (2026) report Exchequer effects as shares of a net revenue base that includes welfare spending.

Table 8: Comparison with the Irish simulation of Doorley et al. (2026)

	Ireland (SWITCH, SILC)	UK (this paper)
Central shock conventions	7% / +2.6% / +0.4pp	identical
Incidence of displacement	concentrated in upper deciles	0.80% (bottom) to 5.55% (top decile)
Gini response	rises in every scenario	rises in every family and grid cell

Note: Irish entries summarise the published report. The exercises use different microdata, occupational resolution and tax-benefit systems.

6.1 Limitations and further work

Exposure. Exposure varies across nine SOC2020 major groups through a chained crosswalk, a reconstructed complementarity index and ASHE weights covering 340 of 412 unit groups; the occupation of SPI-drawn top-income records is imputed. Quota rates run from zero (elementary occupations) to about 10 per cent (Table 9), so incidence is a between-group gradient. A UK-native index (Henseke et al., 2025) with detailed occupations imputed from the Labour Force Survey would remove both constraints.

Dynamics and behaviour. Displacement is a one-year stock with full-year zero earnings, no re-employment, no change in partners' hours, no redundancy pay and no running down of savings. UK evidence on earnings losses after displacement (Upward and Wright, 2019)

would calibrate spell length and re-employment wages, and US evidence shows workers from AI-exposed occupations gaining from publicly funded retraining (Hyman et al., 2025), a margin the framework does not model. Contributory Jobseeker's Allowance is not paid to newly displaced workers, because the model carries only reported awards; newly displaced households keep their baseline UC take-up flags; and the pay bill saved when a public-sector employee is displaced is outside the government balance. Reduced hiring of young workers, the margin on which the strongest early evidence lies (Brynjolfsson et al., 2026; Klein Teeselink, 2025; Hosseini Maasoum and Lichtinger, 2026a), is outside a stock-based framework.

Capital and the self-employed. The capital channel covers interest and dividends only, and its size depends on the dividend base: Microcosm's 2026 taxpayer dividends exceed the SPI projection by 16 per cent. The self-employed are outside the labour-market shocks.

Further simulations. Two sets of simulations are specified in the replication code. The first sizes displacement to the OBR's unemployment rise with flat survivor earnings and no capital windfall, records the decile flows behind the stabilisation coefficients, and compares the result with the OBR's fiscal effects line by line. The second replaces the capital uplift with +10 and +20 per cent uplifts, a dividend-only uplift and the closed account of Section 4.5 simulated at $\phi = 0.5$ and $\phi = 1$.

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A Appendix

A.1 Seed and draw conventions

Displacement is a random draw of which employees lose their jobs, subject to occupation-group quotas. Within each draw, ordering keys are uniform within the group, so a record's inclusion probability does not depend on its calibrated weight. The results rest on the following bases.

- Means over 50 paired draws (seeds 0–49): the central scenario (Table 1) and its cost by component, the five displacement rules (Table 2), the policy reforms (Table 7), the decile transition and wage-gain profiles, and the regression slope used to adjust the index comparison.
- Means over 20 paired draws (seeds 0–19), with identical displacement in every run of a seed: the channel split and cost per displaced worker, the capital-income coverage runs, the capital break-even, and the duration and take-up sensitivities; also the 20-draw decile profile and the gender displacement rates.
- Single draws at seed 0: the low and high presets, the shock-size grid and its variants, the wage-margin and mixed-margin tables, the survivor-wage panel and its break-even, the factor-income account, the absorption rates, the index and ripple sensitivities, the caseloads, the poverty decomposition and the age shares. Seed 0 ranks 2 of 50 on the BHC poverty change and 19 on cost among the exposure-proportional draws, so its cost sits near the mean and its poverty change near the bottom of the range.
- Means over five draws (seeds 0–4): the 2008–09 backcast; 5 draws: the duration-consistent policy ranking.

A value written $a \pm b$ is a mean and the standard deviation across assignment draws; the standard error of the mean is $b/\sqrt{n}$ for n draws.

A.2 Job loss by occupation group

Table 9 reports the prescribed central-scenario quota rate for each SOC2020 major group. The allocation rule concentrates losses in administrative and secretarial, managerial, professional and associate professional occupations, while elementary occupations—the least-exposed group, whose normalised exposure score is zero—experience no displacement at all. Clerical and professional work bears the shock; manual and elementary work carries lower quotas.

A.3 A historical benchmark: a 2008–09-sized employment shock

The backcast displaces 2.6 per cent of employees uniformly, matching the rise in the LFS unemployment rate over 2008–2010, with no wage or capital channel (means over five draws). Besides the absolute BHC change reported in Section 4.1, it changes absolute AHC poverty by +1.17 points, relative BHC poverty by −0.19 points and the Gini by +0.33 points. Recorded HBAI outturns over 2007/08–2010/11 show absolute BHC poverty and the Gini roughly flat to slightly falling and relative poverty falling, because benefits were uprated with high inflation while median incomes fell, and because unemployment spells were of mixed length. The gap measures what the excluded channels (uprating, duration, behavioural and macro-policy responses) absorbed in practice. Per point of uniform displacement the backcast gives +0.37 points of BHC

Table 9: Central-scenario job loss by SOC2020 major group

Major group	C-AIOE	Employment (m)	Quota rate (%)
1 Managers, directors and senior officials	0.62	3.33	9.4
2 Professional occupations	0.60	8.12	9.3
3 Associate professional occupations	0.47	4.25	8.4
4 Administrative and secretarial occupations	0.74	2.98	10.3
5 Skilled trades occupations	−0.33	1.89	2.8
6 Caring, leisure and other service occupations	−0.14	2.42	4.1
7 Sales and customer service occupations	0.27	1.79	7.0
8 Process, plant and machine operatives	−0.54	1.42	1.3
9 Elementary occupations	−0.73	2.69	0.0

C-AIOE is the standardised complementarity-adjusted exposure score before the min-zero normalisation used in the allocation rule. Employment uses calibrated weights. Quota rates are the prescribed group displacement rates; any single draw realises them in expectation only (the seed-0 realised rates are in the source file).

poverty, against +0.35 for the uniform 7 per cent family, which also carries the wage and capital channels.

A.4 Exposure-index sensitivity

Table 10 reruns the central scenario under five exposure indices: the C-AIOE, the unadjusted Felten et al. (2021) AIOE, the Eloundou et al. (2024) GPT-exposure beta, and the all-AI and large-language-model indices of Department for Education (2023). The quota is 7 per cent under every index, but a single draw realises a different number of displaced workers under each, and across the 50 exposure-proportional draws each additional million displaced adds £11.0 billion to the cost. I therefore shift each seed-0 result to the 50-draw mean displaced count along the slope estimated from those draws. Adjusted, the cost ranges from £4.3 billion to £8.2 billion; the Felten AIOE, which costs more than the C-AIOE at seed 0 only because its draw displaces more workers, costs £8.0 billion against £8.2 billion. The Eloundou index, which loads less displacement on the highest-paid groups, costs least. The Gini rises and the transition gradient rises with income under every index.

Table 10: Central scenario under five exposure indices (seed 0, adjusted to the mean displaced count)

Index	Displaced (m)	Cost (£bn) Raw	Cost (£bn) Adjusted	ΔPov. BHC adj. (pp)	ΔGini adj. (pp)	D1 (%)	D10 (%)
C-AIOE (central)	1.96	7.4	8.2	+2.01	+1.54	0.48	5.61
Felten AIOE	2.16	9.3	8.0	+2.84	+1.85	0.69	6.18
Eloundou beta	1.95	3.4	4.3	+2.16	+1.86	0.84	4.95
DfE AIOE	1.89	5.9	7.5	+2.37	+1.79	0.73	4.96
DfE LLM	1.99	5.1	5.6	+2.11	+1.67	0.67	6.24

Single draw, seed 0, 2026. Adjusted columns subtract the 50-draw OLS slope of each outcome on the displaced count (exposure-proportional draws) times the draw's deviation from the 50-draw mean count. D1 and D10: percentages of persons in the bottom and top baseline deciles who move to unemployment.

B Online appendix

This appendix is intended for online publication.

B.1 Household mediation by decile

The tax-benefit system converts each market-income loss into a smaller disposable-income loss; Figure 2 decomposes that mediation by decile into market income, benefits, and taxes and contributions, all expressed relative to baseline disposable income. The decomposition is household-level and additive: market income change plus benefit change minus tax change equals the disposable income change up to an explicit residual, which collects perimeter items inside the HBAI concept (council tax and pension deductions) and never exceeds 0.5 per cent of baseline income in any decile.

The capital channel reshapes this mediation. In the seed-0 draw the largest disposable-income loss falls in decile 8: market income changes by −4.9 per cent of baseline disposable income, benefits by +0.3 per cent and lower taxes and contributions return +0.7 per cent, leaving, with the HBAI perimeter items, a disposable-income change of −3.6 per cent. Benefits and lower taxes and contributions offset about 21 per cent of the market loss, and 27 per cent including the perimeter items. In the top decile the capital uplift offsets the earnings lost by displaced workers: market income changes by +0.8 per cent and disposable income by +0.4 per cent. Figure 2 weights households once; the 20-draw profile instead weights each household by its number of members (the basis of Figures 3, 13, 14 and 19). Averaged over 20 displacement draws on that basis, the largest mean loss, 2.86 per cent, falls in decile 8, and the top decile changes by +0.09 per cent (95 per cent interval for the mean $[-0.14, +0.32]$). The loss profile is therefore hump-shaped rather than rising with income: displacement losses concentrate in the upper-middle deciles, while capital-income gains offset them at the top. The bottom-decile result depends on how households are ranked. Under the HBAI ranking, decile 1 changes by +1.78 per cent; ranked on income before pension contributions it changes by −0.33 per cent, and excluding the 333 households whose personal pension contributions exceed both £10,000 and their earnings it changes by −0.10 per cent. The bottom-decile change is not robust to how households are ranked: under HBAI, a small number of heavily weighted households with large personal pension contributions sit in decile 1 and receive capital income, so I do not report a bottom-decile result as a finding.

Monte Carlo uncertainty on the decile profile

Figure 3 reports the central-scenario disposable-income change by decile as the mean over twenty independent displacement draws with 95 per cent intervals for the mean across assignment draws. The profile is hump-shaped: the largest mean loss, 2.86 per cent, falls in decile 8, and the top decile changes by +0.09 per cent. The bottom decile depends on the income ranking. Under the HBAI ranking it changes by +1.78 per cent ($[+1.24, +2.31]$); ranked on income before pension contributions, by −0.33 per cent ($[-0.50, -0.16]$); and excluding the 333 households whose personal pension contributions exceed both £10,000 and their earnings, by −0.10 per cent ($[-0.30, +0.10]$). The bottom-decile change therefore is not robust to how households are ranked, and I do not report it as a finding.

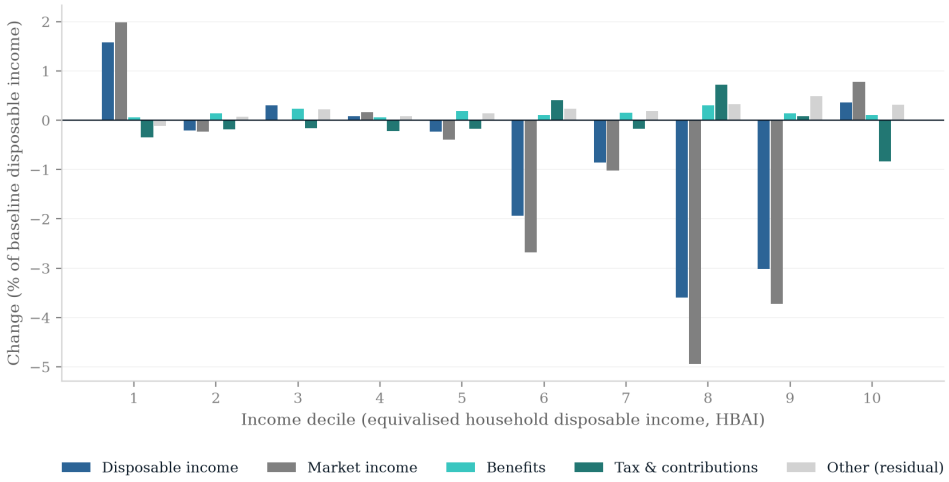


Figure 2: Additive household-level decomposition of the change in income by decile into market income, benefits, and taxes and contributions, central scenario (single draw, seed 0), as a share of baseline HBAI disposable income. The residual collects perimeter items (council tax, pension deductions) inside the HBAI concept.

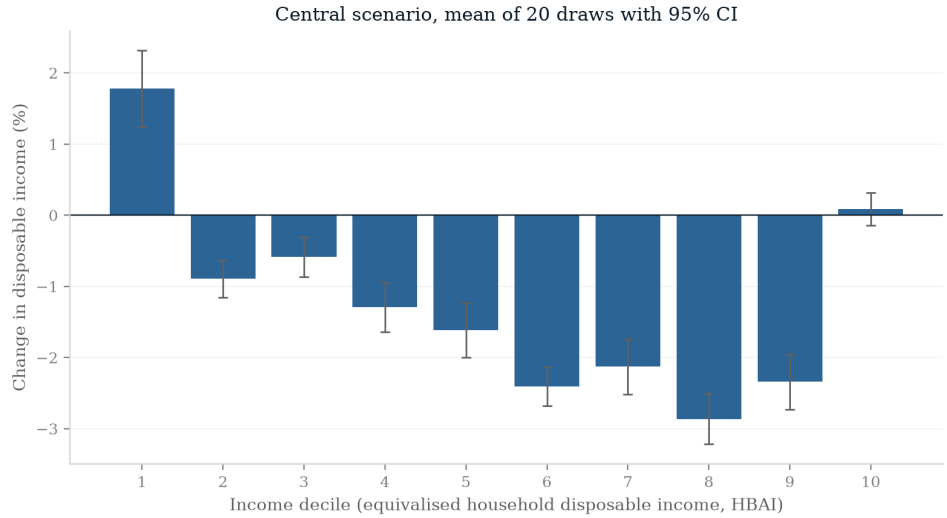


Figure 3: Disposable income change by decile, central scenario: mean and 95 per cent interval for the mean across 20 assignment draws. Each household's change is weighted by its number of members.

B.2 Wage and capital channel profiles

Survivor wage gains run from 2.55 per cent in the bottom decile to 2.73 per cent in the top (Figure 4), because complementarity varies little across the deciles in which people work. Capital income is concentrated: the top decile holds £73.8 billion of the £121 billion baseline total, the top two deciles 75.4 per cent and the bottom decile 2.4 per cent (Figure 5).

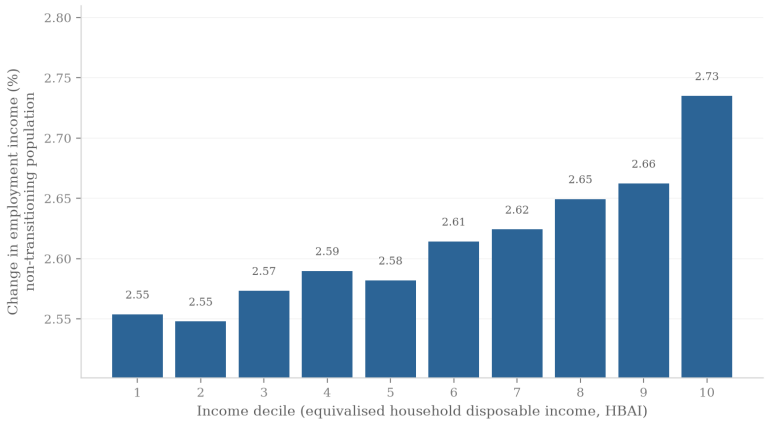


Figure 4: Percentage change in employment income among workers remaining in employment, by decile, central scenario. Means over 50 draws.

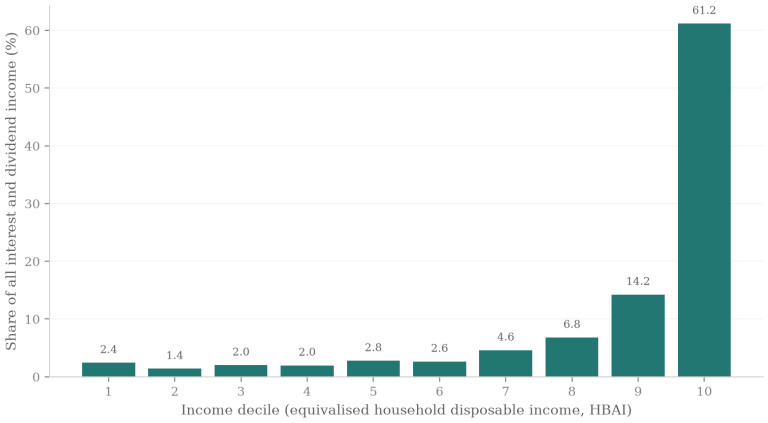


Figure 5: Capital-income channel by decile: a uniform proportional uplift, with pound gains concentrated where capital income is held.

B.3 Where the shock lands: baseline distributions

Figures 6–10 show the baseline household-level decile distributions of the income components through which the three channels operate (aggregate £billion per year by decile of equivalised household disposable income). Market income excluding capital (£1,540 billion in total) and income tax and National Insurance (£409 billion) are heavily concentrated in the top deciles—which is why displacement of high earners is fiscally expensive. Benefits (£332 billion) are spread

across the lower and middle deciles, peaking in deciles 3 and 4. Capital income (£121 billion of interest and dividends) is the most concentrated series: the top decile holds 61.2 per cent of the total.

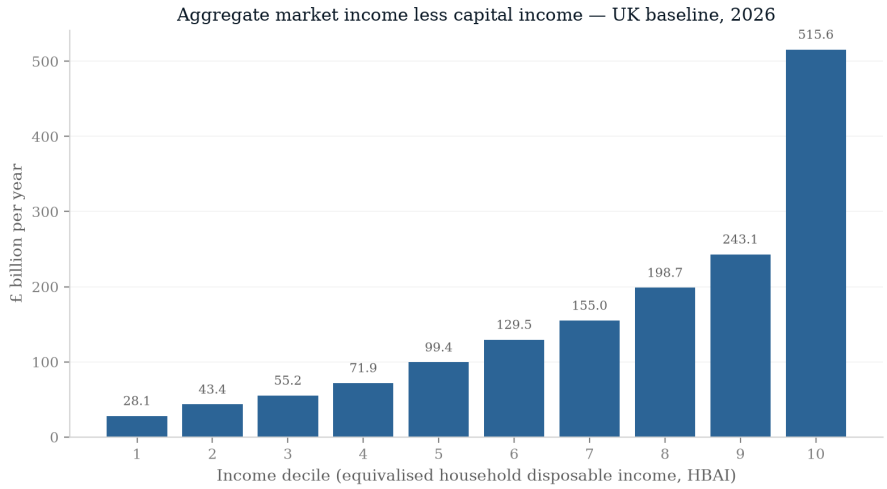


Figure 6: Baseline aggregate household market income (less capital income) by decile.

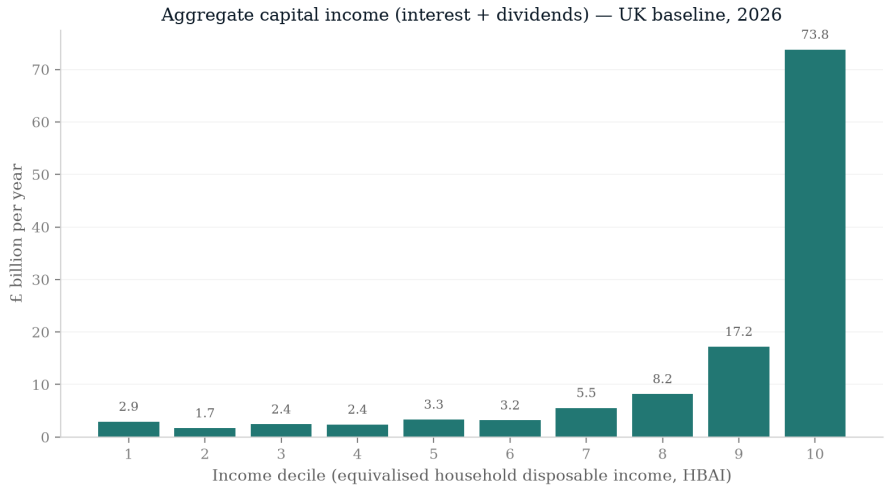


Figure 7: Baseline aggregate household capital income (interest and dividends) by decile.

B.4 Exposure incidence before any simulation

Figures 11 and 12 show, without any shock, how workers in each income decile distribute across employment-weighted tertiles of AI exposure and of complementarity. The share of workers in the lowest exposure tertile falls with household income, and the lowest complementarity tertile shows a similar gradient—the descriptive facts that generate the simulated incidence in Section 4.

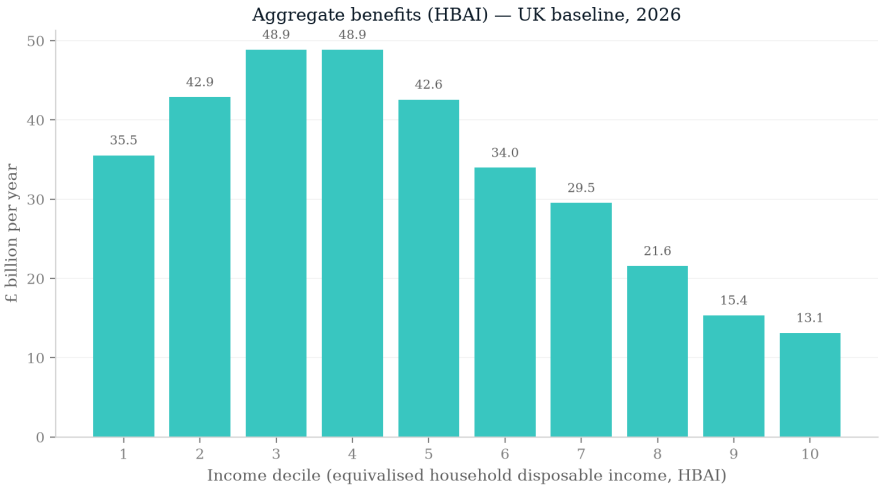


Figure 8: Baseline aggregate household benefits by decile.

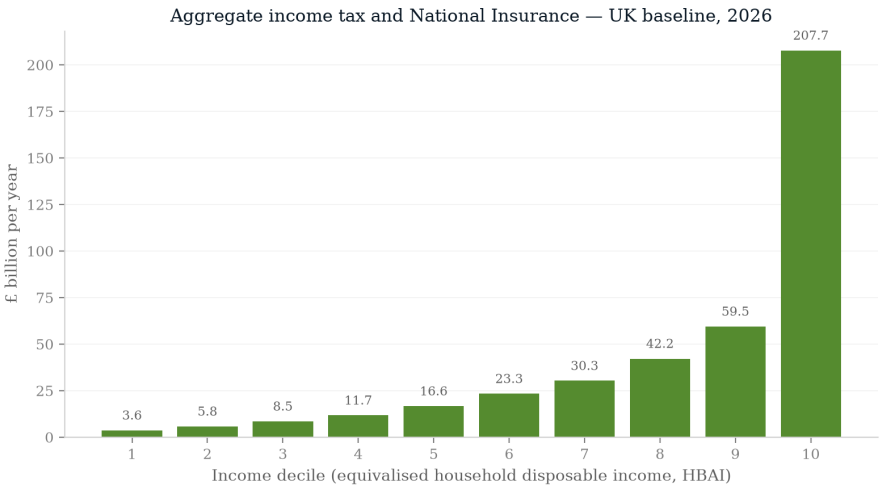


Figure 9: Baseline aggregate household income tax and National Insurance by decile.

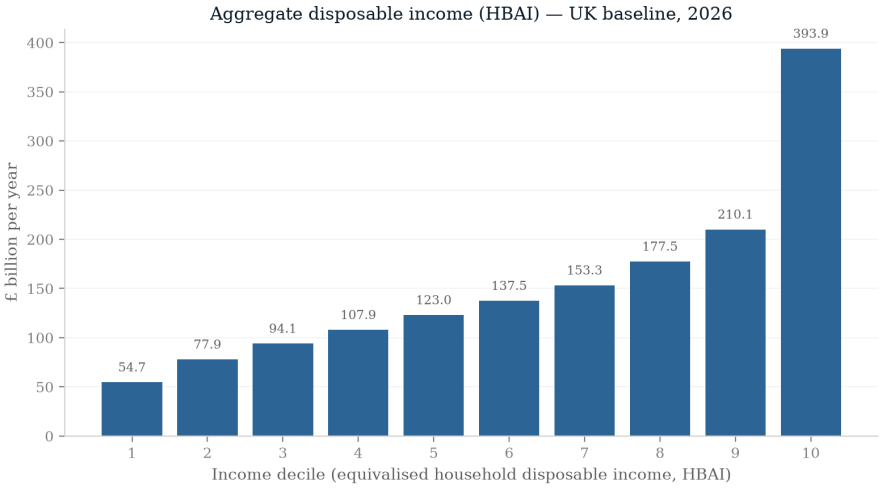


Figure 10: Baseline aggregate household disposable income (HBAI concept) by decile.

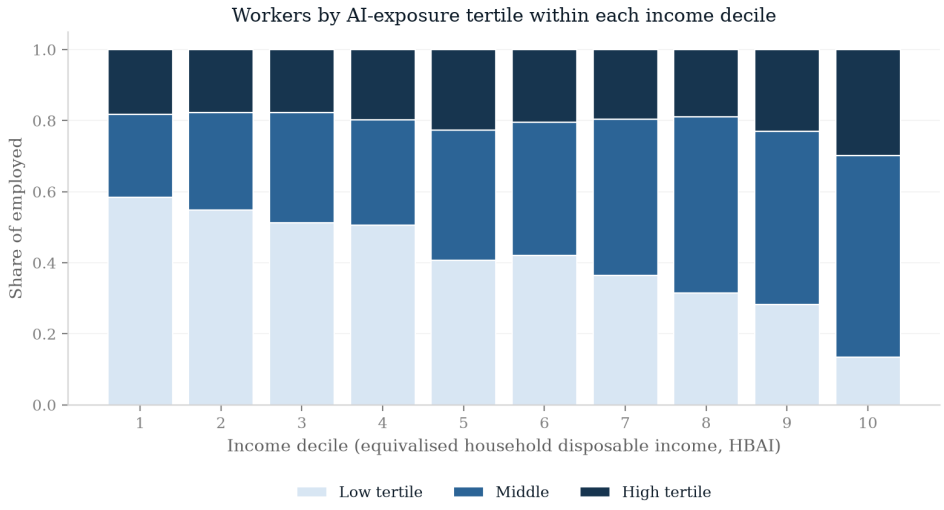


Figure 11: Distribution of employed persons across AI-exposure tertiles, by income decile.

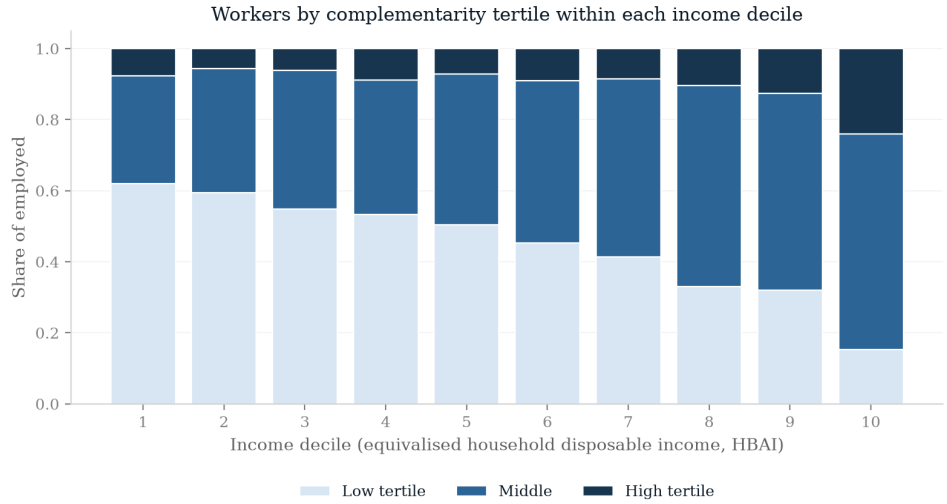


Figure 12: Distribution of employed persons across complementarity tertiles, by income decile.

B.5 Uniform-shock and alternative-index comparisons by decile

Figure 13 compares the central scenario against the same aggregate shocks allocated uniformly across occupations, decile by decile; Figure 14 repeats the central scenario with the Eloundou et al. (2024) GPT-exposure index in place of the C-AIOE. The exposure-based allocation shifts losses towards deciles 8 and 9 relative to a uniform shock: in this single seed-0 draw, with each household weighted by its number of members (Figure 2 weights households once and gives smaller decile losses), they change by −4.4 and −4.8 per cent under exposure-based allocation against −2.7 and −1.5 per cent under the uniform shock, while the top decile changes by +0.2 and +0.7 per cent. Lower-decile comparisons are noisy at the single-draw level.

B.6 Decile incidence under the five displacement rules

B.7 The shock-size grid

To move beyond the presets I simulate a grid of 66 scenarios, crossing eleven displacement rates (0 to 10 per cent of employees, allocated in proportion to exposure, as in the presets) with six wage uplifts (0 to 5 per cent), each combined with the capital income channel, all under exposure-proportional incidence. Figure 16 maps the change in average household disposable income. The corners bracket the range: with a 5 per cent wage gain and no job loss, average disposable income changes by +4.6 per cent; with 10 per cent displacement and no wage gain it changes by −4.1 per cent. The capital channel shifts the whole surface upwards: on its own (no displacement, no wage gain) it raises average disposable income by +2.0 per cent. With no wage growth, average disposable income still rises at 3 per cent displacement (+0.48 per cent) and first falls at 4 per cent (−0.36 per cent); at the central 7 per cent displacement rate it falls with up to 4 per cent wage growth (−0.29 per cent) and rises slightly with 5 per cent (+0.17 per cent). Whether AI raises or lowers average living standards in this grid therefore depends on the balance between displacement and wage growth, and on the assumed capital-return shock, all of which are uncertain.

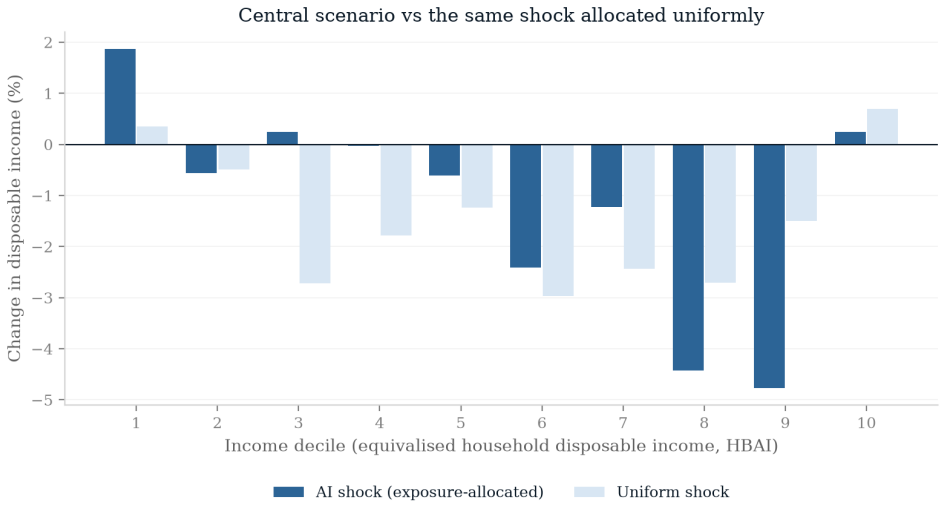


Figure 13: Disposable income change by decile: exposure-allocated versus uniform shock, central parameters (seed 0; each household weighted by its number of members).

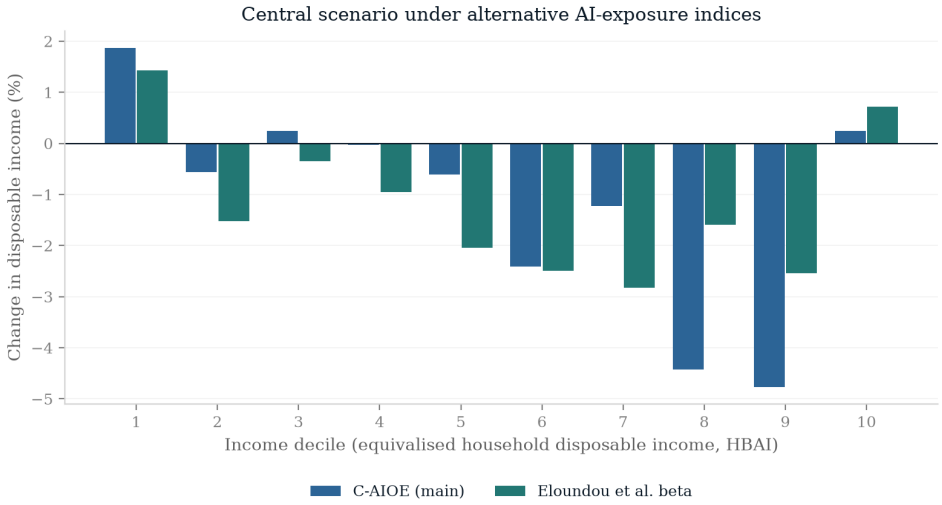


Figure 14: Disposable income change by decile under the C-AIOE and the Eloundou et al. exposure index (seed 0; each household weighted by its number of members).

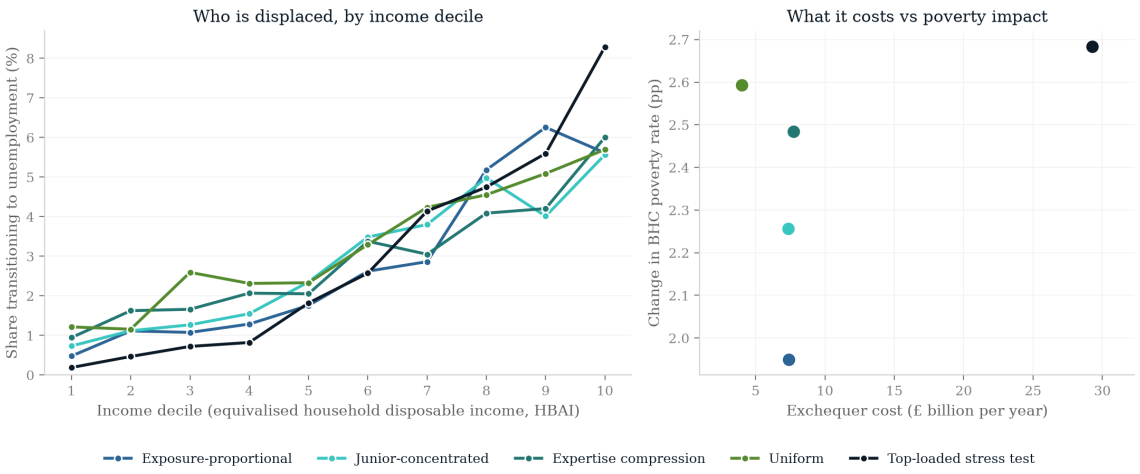


Figure 15: The central shock under the five displacement rules: share of each decile moving to unemployment (left) and Exchequer cost against the change in absolute BHC poverty (right). Single draw (seed 0); Table 2 reports 50-draw means.

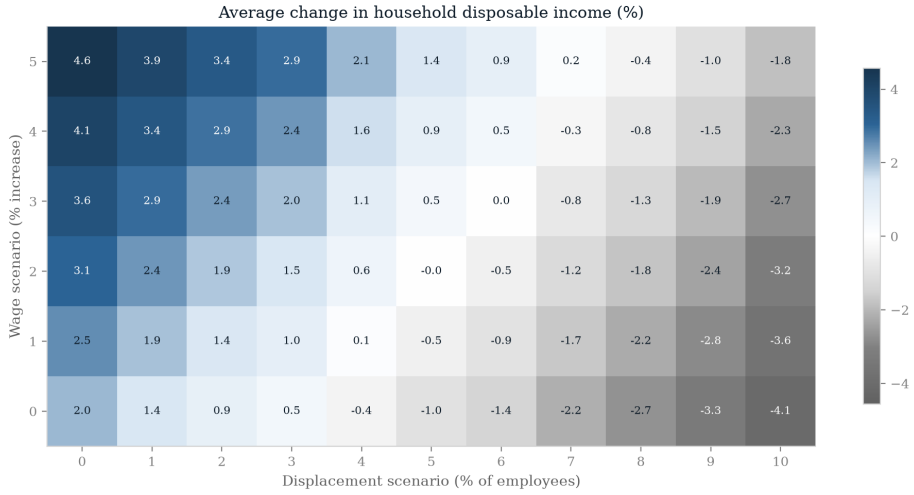


Figure 16: Change in average household disposable income (per cent) across the 66-cell grid of displacement rates and wage uplifts (single draw, seed 0).

Figure 17 shows the corresponding fiscal picture. One measurement issue deserves note: in PolicyEngine's UK aggregates, income tax plus National Insurance minus total benefit expenditure (which includes the state pension) is a negative number, so expressing revenue changes relative to that net position produces uninformative percentages. I therefore express the net revenue change relative to gross income tax and National Insurance receipts as simulated on the household microdata (about £409 billion); this base is smaller than headline OBR receipts, which include employer contributions and income outside the household universe. Two consequences follow. First, the grid's revenue measure is income tax plus National Insurance minus cash benefit expenditure, a narrower concept than the full government-balance measure behind the £7.4 billion headline cost of Section 4.1, which also includes employer National Insurance, indirect taxes and other levies. Over the 50 central draws the narrow cash basis shows a net gain of £1.2 billion, against a cost of £7.4 billion on the government balance; the gap of £8.6 billion matches the employer National Insurance component of £8.6 billion, and the two measures should not be read off the same surface. Second, on that narrower basis the grid spans a gain of £42.6 billion, or 10.4 per cent of receipts (5 per cent wage growth, no displacement), to a loss of £22.2 billion, or 5.4 per cent of receipts, in the worst cell (10 per cent displacement, no wage growth). On this narrow basis the capital shock alone adds £16.8 billion of net revenue. At the central displacement rate, net revenue falls by £11.2 billion with no wage offset (2.7 per cent of receipts) and rises by £3.0 billion with a 3 per cent wage uplift.

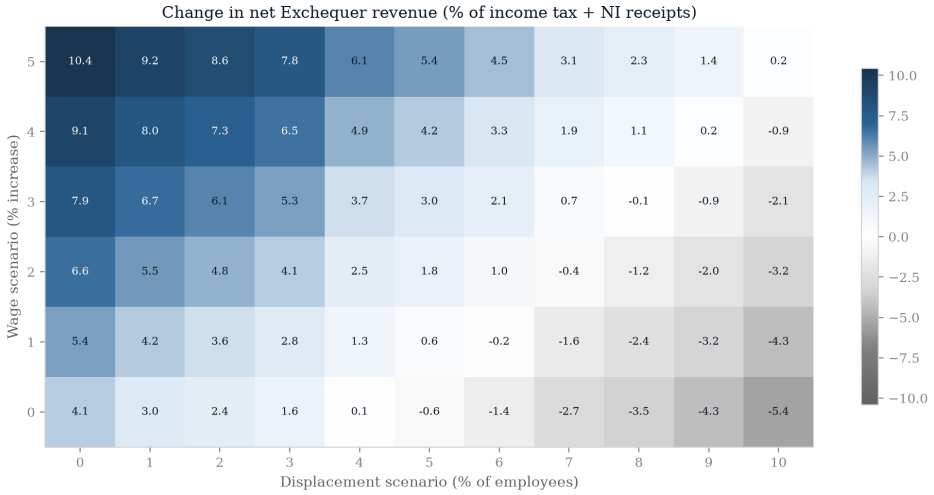


Figure 17: Net Exchequer revenue change as a percentage of gross income tax and National Insurance receipts, across the 66-cell scenario grid.

Figure 18 maps the change in the Gini coefficient across the same grid. The Gini rises in all 66 cells, from +0.70 percentage points in the capital-only cell (no displacement, no wage gain) to +2.35 points at the far corner. The capital channel alone accounts for a substantial part of the rise, because the uplift accrues mainly to the top decile; displacement adds to it by pushing affected households down the distribution, and the wage uplift by lifting surviving workers further from workless and low-income households. Because each cell is a single draw on uneven weights, the Gini change is not strictly monotone in the displacement rate; the cross-draw spread reported for the central scenario (Section 4.1) indicates the scale of that noise. Within the model, inequality rises even though the displacement shock lands mainly on higher

earners.



Figure 18: Change in the Gini coefficient of equivalised HBAI disposable income (percentage points) across the 66-cell scenario grid. The Gini rises in every cell.

Figure 19 facets the full 66-cell scenario grid by baseline income decile; cells report the change in mean household disposable income (HBAI concept), which across the grid as a whole ranges from +4.6 to −4.1 per cent. Losses deepen with displacement in every decile, though not monotonically in a single draw. In the cell with the largest loss (10 per cent displacement, no wage gain) the top decile's disposable income changes by −3.7 per cent; the bottom decile is subject to the ranking caveat of Section B.1. Figure 20 removes the capital-return shock. Average disposable incomes fall relative to the capital-on grid, confirming that the capital channel raises average incomes while concentrating its gains at the top. Within this grid, without the capital shock the Gini of equivalised disposable income rises in 65 of the 66 cells, by up to 1.65 percentage points; the null $(0, 0)$ cell, which with the capital shock also off contains no shock at all, is exactly zero. Thus the positive Gini change in the shocked cells is not generated solely by the capital channel.

B.8 Ripple-effect sensitivity

The displacement scenarios of the main text hold non-displaced wages at the uplifted baseline, so the ripple effects of Acemoglu and Restrepo (2022)—displaced workers bidding down the wages of the non-displaced—are absent. Here I price that channel in reduced form. After the central displacement draw, each displaced worker's labour supply is routed across destination SOC2020 major groups using a row-stochastic 9×9 routing matrix with a zero diagonal: the preferred source for this matrix, a pairwise retraining-cost matrix from the Hosseini Maasoum and Lichtinger (2026b) data release, does not exist (the release contains only occupation-level measures, with no origin–destination pairs), so I fall back on employment-proportional routing, with each origin row proportional to destination employment shares from the same ASHE 2025 employment weights used throughout the paper. For each destination group I compute the proportional labour-supply inflow s_l (routed displaced FTE over baseline employment), and every non-displaced employee in group l takes a wage cut of $\eta \times s_l$ of baseline earnings, composed

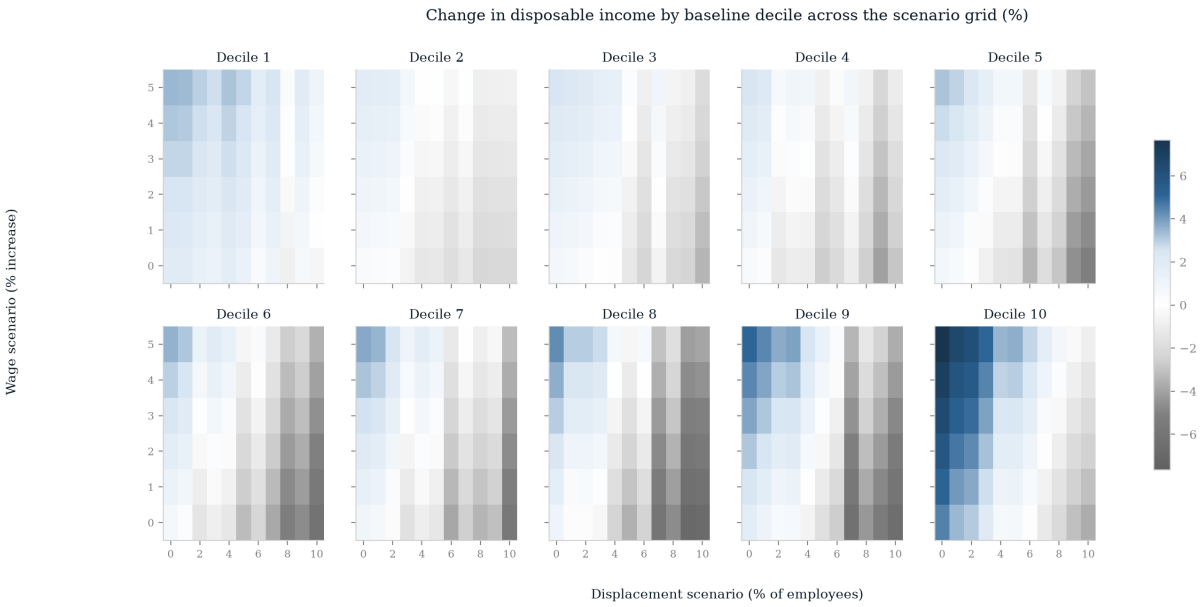


Figure 19: Change in household disposable income across the scenario grid, faceted by baseline income decile. Single draw, seed 0; each household weighted by its number of members.

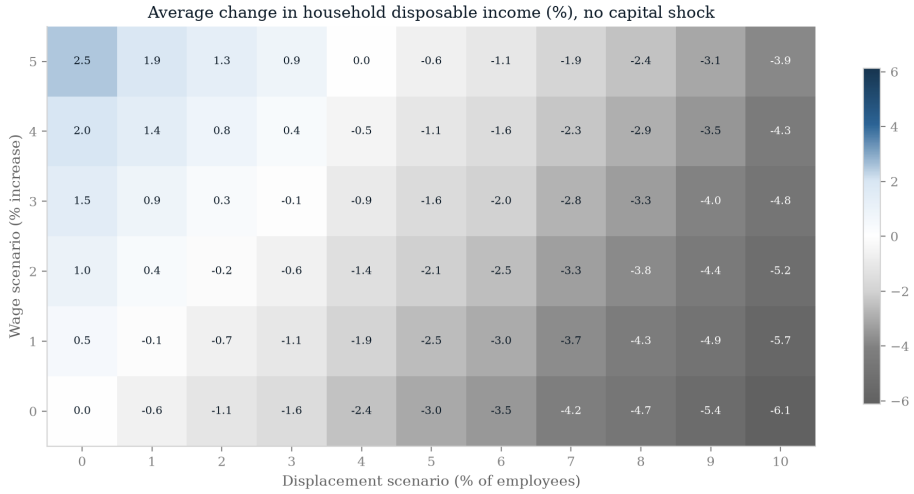


Figure 20: Average change in household disposable income across the scenario grid with the capital-return shock switched off. Single draw, seed 0.

additively with the +2.6 per cent uplift. The parameter η is an *assumed inverse-demand slope*—the proportional wage decline per unit proportional labour-supply inflow—not a sourced own-wage elasticity, and no conclusion about whether the central scenario is conservative should be drawn from any single value of it; with 7 per cent of workers displaced the inflow shares are around 7 per cent, so $\eta = 0.3$ implies wage cuts of roughly 2 per cent across the non-displaced workforce. This is a directional sensitivity, not an implementation of the Acemoglu and Restrepo (2022) propagation matrix: there is no task structure, no equilibrium feedback, and the routing is exogenous. Table 11 reports the results for $\eta \in \{0, 0.15, 0.3, 0.5\}$.

Table 11: Central scenario with reduced-form ripple effects

η	Cost (£bn)	ΔPov. BHC (pp)	ΔPov. AHC (pp)	ΔGini (pp)
0 (central)	7.4	+1.95	+2.15	+1.50
0.15	13.4	+2.03	+2.31	+1.46
0.30	19.5	+2.10	+2.56	+1.43
0.50	27.6	+2.26	+2.89	+1.38

Single draw, seed 0, 2026. η is the author-chosen wage sensitivity applied to each destination group's proportional labour-supply inflow. $\eta = 0$ reproduces the central scenario exactly.

Under this specification, the ripple channel loads mainly on the Exchequer. At $\eta = 0.3$ the fiscal cost rises by £12.2 billion, from £7.4 to £19.5 billion, because thin, widespread wage cuts across the non-displaced workforce forgo income tax and National Insurance at the margin. The distributional estimates move less: BHC poverty rises by 0.15 points more than in the central run (Table 11 gives the Gini change); the cuts are imposed on employed workers concentrated in the middle and upper deciles. Adding this particular ripple raises the simulated fiscal cost; other routing and wage-response assumptions could produce different results.

B.9 Age and gender

The incidence axis has a within-family age structure. Under exposure-proportional incidence, workers aged 16–24 account for 8.0 per cent of the displaced in the central scenario (seed 0), because young people in the UK are concentrated in low-exposure service occupations; the largest displaced group is aged 25–34, with 29.0 per cent. The junior-concentrated family of Table 2 reweights displacement probabilities towards junior workers while holding the aggregate displacement rate at 7 per cent. Because juniors are concentrated in occupation groups whose fixed quotas the tilt does not change, the shift is partial: the 16–24 share rises from 8.0 to 12.7 per cent and the 55–64 share moves from 15.5 to 15.9 per cent (seed 0), while the largest displaced group remains those aged 25–34 (24.6 per cent). Over the 50 assignment draws the cost is £7.1 ± 1.6 billion under the junior tilt against £7.4 ± 1.8 billion under exposure-proportional incidence. The junior tilt is therefore an additional scenario assumption rather than a consequence of occupational exposure alone.

If AI adoption in practice falls hardest on juniors through recruitment rather than dismissal—as the seniority-biased hiring evidence of Hosseini Maasoum and Lichtinger (2026a) and the early-career employment declines in AI-exposed occupations documented by Brynjolfsson et al. (2026) suggest—the fiscal consequences could differ materially from the broad-based scenarios above, because junior workers contribute little income tax and National Insurance. That channel, however, operates through hiring flows that stock-based simulation frameworks such as mine do not capture by construction.

Exposure also carries a gender gradient. Employed women have a mean C-AIOE of 0.33 against 0.22 for employed men, reflecting women's concentration in administrative, professional and associate-professional work. In the central scenario this translates into a displacement rate of 7.6 per cent for employed women against 6.4 per cent for men (means over 20 draws): women hold 49.1 per cent of employment and account for 53.4 per cent of the displaced. The individual-level asymmetry echoes international evidence that female employment is more exposed to generative AI than male employment (ILO, 2025).

B.10 Benefit caseloads

The fiscal aggregates above can also be read on the delivery side, as caseloads. In the central scenario (seed 0) the shock draws 351,000 benefit units into Universal Credit while 18,000 exit, a net caseload increase of 333,000 benefit units, and annual UC spending rises by £2.4 billion from a baseline of £80.5 billion, of which £0.6 billion is the housing element within paid awards. The high scenario adds 506,000 net new benefit units and £4.1 billion, and the low scenario 87,000 benefit units and £0.8 billion. Caseload responses vary with incidence: the junior-concentrated family adds 293,000 net benefit units at a cost of £2.3 billion. Two accounting notes apply: only the benefit-unit figures are net of exits—the corresponding household and person counts (314,000 and 664,000 in the central scenario) are gross new entrants—and the housing element is measured within paid awards, slightly overstating housing-specific cash.

B.11 Decile distribution of the policy reforms

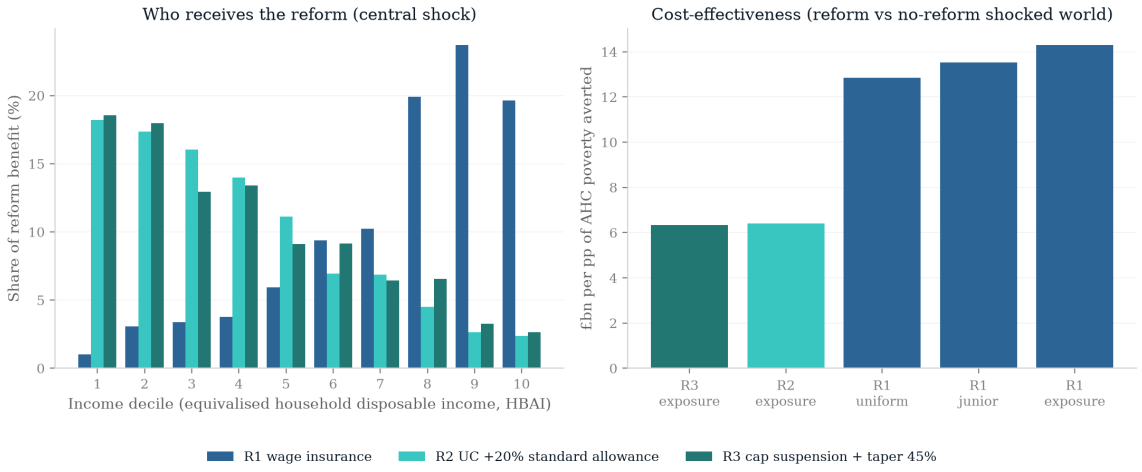


Figure 21: The three policy reforms on top of the central shock: fiscal cost, poverty and Gini effects, and the decile distribution of household gains. Shocked-plus-reform minus shocked, seed 0, 2026.

B.12 Change of dataset and dividend coverage

Table 12 sets the headline results of this version against those of the earlier version, which ran PolicyEngine UK 2.89.2 on the processed FRS 2024–25 file (version 1.56.6) described in Section 3.5. Four differences contribute to the change. First, Microcosm grosses to 29.0 million

employees rather than 22.9 million, so the same 7 per cent rate displaces more workers and removes more earnings. Second, Microcosm carries £92.9 billion of dividends held by 4.9 million people in 2026, against £0.04 billion on eight records in the earlier file, so the capital shock now raises dividend-tax revenue (by £12.7 billion in the 50-draw central draws; Section 4.1). Third, Microcosm's calibrated weights are more dispersed than survey grossing weights, which affects the spread across assignment draws (Section 3.5). Fourth, the model version differs (PolicyEngine UK 2.89.2 against 2.174.1).

Table 12: Headline results in the earlier and current versions

	Earlier version (processed FRS file)	This version (Microcosm)
Employees (million)	22.9	29.0
Dividend income (£bn)	0.04	92.9
Baseline Gini	0.309	0.302
Baseline capital income (£bn)	23.0	121
Central displaced, seed 0 (million)	1.56	1.96
Central cost, 50-draw mean (£bn)	17.7 ± 1.2	7.4 ± 1.8
Central BHC poverty, 50-draw mean (pp)	+1.87	+2.34
Central Gini, 50-draw mean (pp)	+1.11	+1.76
Low preset cost, seed 0 (£bn)	4.3	−10.4
High preset cost, seed 0 (£bn)	46.9	43.4
Uniform family cost, 50-draw mean (£bn)	13.9	2.2
Top-loaded stress test cost, 50-draw mean (£bn)	32.8	26.9

Earlier-version values are from the repository at commit 5d75106 (the earlier capital income sums the decile file `results/jr16/fig4_3_capital_by_decile.csv`). Both versions simulate 2026. Exchequer cost is the fall in the government balance; a negative value is a net gain. The earlier version reported the seed-0 central cost of £18.2 billion as its headline.

Because the capital channel scales dividends proportionally, its fiscal size depends on how much dividend income the data carry. Restricted to people with total income of at least £12,570, the population the SPI covers, Microcosm's 2026 dividend income is £92.7 billion, which is 16 per cent above the HMRC SPI projection for the same year (£80.0 billion: the SPI 2023–24 outturn projected to 2026 by PolicyEngine's data pipeline, summed over all income bands from £12,570).[2] I run three scaled variants, each over 20 draws paired with the unscaled central run, scaling the variable in both the baseline and the shocked runs and only for people above the threshold:

- dividends scaled by one factor (0.863) to the SPI total: the central cost changes from £7.2 billion to £9.3 billion (a paired increase of £2.1 billion), and the Gini change by −0.11 points;
- dividends scaled band by band to the SPI band totals (top-band factor 0.52): the cost is £9.3 billion (a paired increase of £2.0 billion);
- savings interest scaled by 0.761 to the SPI total of £20.4 billion: the cost is £8.2 billion (a paired increase of £0.9 billion).

[2]The projection is `incomes_projection.csv` in the policyengine-uk-data repository (commit fa4ebe9), the source of Microcosm's own SPI calibration targets. Microcosm matches the SPI targets band by band up to £1 million of total income; in the untargeted band above it Microcosm holds £23.96 billion of dividends against £12.37 billion in the projection.

I report these as sensitivities, not as alternative headlines: these data do not show whether the gap reflects top-income dividends the projection misses or calibration error. The Monte Carlo spread does not capture this uncertainty, because the capital uplift is the same in every draw.